



4. Human Resource Management (6 hrs)

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Training (on the job and off the job)

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4.1 Meaning and Functions of Human Resource Management

Meaning of Human Resource Management



- *It focuses on recruiting the right people, developing their skills, motivating them, and ensuring their well-being.*
- *HRM ensures that human capital is used efficiently and fairly.*
- *It aligns individual performance with the strategic goals of the organization.*

- Human Resource Management is ***the process of managing people in an organization to achieve organizational goals effectively.***
- It involves planning, recruiting, training, developing, and retaining employees to meet organizational goals.
- HRM is the art and science of managing people at work.

Functions of HRM



- Planning
- Recruiting
- Training
- Compensating
- Appraising
- Ensuring employee welfare

- **Planning:** Developing strategies to meet organizational goals and aligning human resources accordingly.
 - **Example:** A company forecasts a need for 20 new software developers in the next year due to a new project and creates a hiring plan to recruit them.
- **Recruiting:** Attracting and selecting qualified candidates to fill job vacancies.
 - **Example:** Using online job boards and social media campaigns to attract applicants for a marketing manager position.
- **Training:** Providing employees with the skills and knowledge necessary to perform their roles effectively.
 - **Example:** Conducting a workshop on leadership skills for potential team leaders within the organization.

- **Compensating:** Establishing and managing salary structures and benefits to reward employees for their work.
 - **Example:** Implementing a performance-based bonus system that rewards employees based on their annual performance reviews.
- **Appraising:** Evaluating employee performance to provide feedback and guide career development.
 - **Example:** Conducting annual performance reviews where managers assess employee achievements and set goals for the next year.
- **Ensuring Employee Welfare:** Promoting a healthy work environment and supporting employee well-being and satisfaction.
 - **Example:** Offering wellness programs, such as gym memberships or mental health days, to improve employee health and morale.

1. Managerial Functions of HRM

- **Planning:** Forecast workforce needs, develop HR strategies, analyze labor market trends.
- **Organizing:** Structure HR activities, define roles, coordinate with departments.
- **Directing:** Motivate employees, implement policies, communicate expectations.
- **Controlling:** Monitor HR activities, evaluate outcomes, correct deviations.

2. Operational Functions of HRM

- **Recruitment and Selection:** Attract and hire qualified candidates.
- **Training and Development:** Provide orientation, training, and career development.
- **Compensation and Benefits:** Manage pay structures and benefits.
- **Performance Management:** Set standards, conduct appraisals, provide feedback.
- **Employee Relations:** Handle grievances, ensure compliance, foster positive environment.
- **Health and Safety:** Implement safety programs, promote wellness.
- **HR Administration:** Maintain records, manage payroll, ensure legal compliance.

4.2 Recruitment

- Recruitment is the process of attracting, selecting, and appointing suitable candidates for jobs within an organization.
- According to E.W. Flippo: ***“Recruitment is a process of searching for prospective employees and stimulating them to apply for jobs.”***
- It involves identifying job vacancies, defining job descriptions, and finding the right candidates to fill those roles.
- **Types:**
 - **Internal:** *Promotions, transfers.*
 - **External:** *Job boards, agencies.*
- **Tools:** Online platforms, social media, career fairs.

Recruitment Strategies

- **Internal Recruitment:** Promoting existing employees to fill vacancies.
- **External Recruitment:** Seeking candidates from outside the organization.
- **Campus Recruitment:** Targeting recent graduates through university job fairs.
- **Social Media Recruitment:** Utilizing platforms like LinkedIn and Facebook to reach potential candidates.
- **Employee Referrals:** Encouraging current employees to refer candidates for open positions.

Steps of Recruitment

- Identifying vacancy
- Job posting/advertising
- Collecting applications
- Shortlisting and interviewing
- Final selection

4.3 Job Analysis, Job Specification, Job Description

Job Analysis

- is the process of determining the task that makes up the job
- Collecting info about what the job involves.

Example: For a **Computer Engineer**, HR finds out:

- **Tasks:** *Writing code, testing software*
- **Tools:** *Python, C++, debugging tools*
- **Hours:** *Full-time*
- **Reports to:** *Project Manager*

Job Specification

- states human resource characteristics and qualifications needed to perform the job.
- It shows what kind of person to be recruited.
- What kind of person is needed.

Example: For a **Computer Engineer**

- **Skills:** *Coding, problem-solving*
- **Education:** *Bachelor's in Computer Engineering*
- **Experience:** *1–2 years in software development*

Job Description

- is the written statement of what the jobholder does
- List of job duties and who they report to.

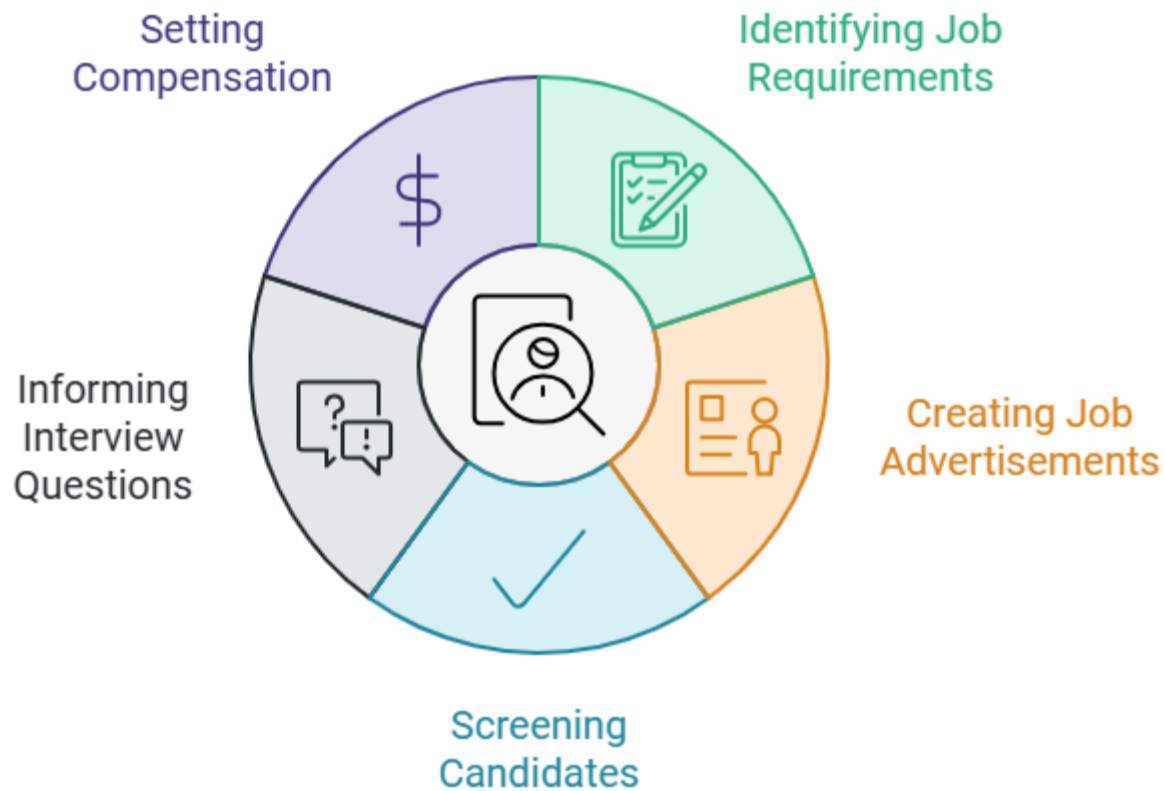
Example:

- **Job:** Computer Engineer
- **Duties:** Develop software, fix bugs, test systems
- **Reports to:** Senior Developer
- **Work hours:** 9 AM – 5 PM

Job analysis

- Job analysis is a systematic process of gathering, documenting and analyzing information about the responsibilities, tasks, skills, abilities, knowledge area, and work context associated with a particular job.
- It forms the basis for defining the right requirements for successfully performing that job.
- A personnel manager has to undertake job analysis so as to put right man on right job.
- There are two outcomes of job analysis:
 - ***Job description***
 - ***Job specification***

Components of Job Analysis



key objectives of job analysis

- identify the core duties and responsibilities that a job entails
- Determine the specialized skills, credentials or competencies needed for the job
- Recognize the key performance indicators to measure outcomes for the job
- Understand the environmental/cultural context and physical demands of the job
- Identify machines, tools, equipment, and technologies used in the job

Job Analysis

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graph TD; A[Job Analysis] --> B[Job Description]; A --> C[Job Specification];
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Job Description

- Job Title
- Job Location
- Job Summary
- Reporting to
- Working Conditions
- Job Duties
- Machines to be Used
- Hazards

Job Specification

- Qualifications
- Experience
- Training
- Skills
- Responsibilities
- Emotional Characteristics
- Sensory Demands

Job Description

Example of a Job Description

Job Title: Record Clerk

Job No. 011

Supervisor: Record Supervisor

Job Grade –III

Supervises: None

Date 2/21/12

Job Summary: Originate, process, and maintain comprehensive records; implement required controls; collect and summarize data as requested.

Job Duties and Responsibilities:

- Review a variety of documents, listings, summarizes, etc, for completeness and accuracy.
- Check records against other current sources such as reports or summaries; investigate differences and take required action to ensure that records are accurate and up to date; compile and summarize data report format as required.
- Implement controls or obtaining, preserving, and supplying a variety of information. Prepare simple requisitions, forms, and other routine memoranda.
- Provide functional guidance to lower level personnel as required.

Working Conditions: Normal working conditions. But visits sites on average twice a week. Eight hours per day

Relationships:

- With equivalent officers in other departments.
- Maintains formal and social contacts with local officials.

Job Characteristics: Skilled operation of computer, calculating machine, or key punch machine is not necessarily a requirement of this job.

The above information is correct and approved by

(Signed)
Job Analyst

(Signed)
In charge Manager

- A job description is a written document that summarizes the duties, responsibilities, and requirements of a specific job.
- It is derived from the information gathered during job analysis.
- A job description typically includes the job title, a summary of the position, essential duties and responsibilities, qualifications, and sometimes the working conditions and expected outcomes.

Job Specification

- Job specification, also known as employee specification, outlines the qualifications, skills, knowledge, and personal attributes required for an individual to perform a specific job.
- It is derived from the job analysis and is often included as part of the job description.
- Job specifications help in the recruitment and selection process by providing a clear understanding of the ideal candidate's characteristics.

Key Components of a Job Specification

- **Job Title:** Official role designation (e.g., "Software Engineer").
- **Qualifications:** Required education and certifications (e.g., degree).
- **Experience:** Relevant work or industry experience (e.g., "3-5 years").
- **Skills and Competencies:** Technical, soft, or specialized skills (e.g., Python, communication).
- **Physical and Mental Requirements:** Physical or cognitive demands (e.g., lifting, attention to detail).
- **Personal Attributes:** Desired traits (e.g., adaptability, teamwork).
- **Responsibilities (Optional):** Brief overview of duties.
- **Work Environment:** Conditions, tools, or travel requirements (e.g., remote work, shift-based).

Aspect	Job Description	Job Specification
Purpose	Describes the job and its duties.	Describes the person who will fill the job.
Focus	On the role itself.	On the candidate's qualifications.
Content	Tasks, responsibilities, scope, and working conditions.	Skills, experience, education, and personal traits.
Use	To inform candidates about the job's requirements.	To identify the best candidate for the job.
Benefit	Helps candidates understand the day-to-day activities.	Helps employers find a candidate with the right qualifications.

4.4 Elements of Compensation

- Compensation refers to the total rewards that employees receive in exchange for their work.
- It's a critical factor in attracting, motivating, and retaining talent.
- In simpler terms, compensation is everything an employee gets from their employer for doing their job.
- Elements of compensation
 - a) *Direct Compensation*
 - b) *Indirect Compensation (Benefits)*
 - c) *Non-Financial Compensation*

i. Direct Compensation

- **Salary:** A fixed annual payment for a marketing manager.
- **Hourly Wage:** Rs. 500/- per hour for a retail associate.
- **Commissions:** A sales representative earning 10% of their total sales.
- **Bonuses:** A year-end bonus for achieving specific performance targets.

ii. Indirect Compensation (Benefits)

- **Health Insurance:** Comprehensive medical, dental, and vision coverage provided by the employer.
- **Retirement Plans:** Employer contributions to a pension plan.
- **Paid Time Off (PTO):** Including vacation days, sick leave, and paid holidays.
- **Life and Disability Insurance:** Coverage that provides financial support in case of death or inability to work due to illness/injury.

iii. Non-Financial Compensation

- **Opportunities for Career Advancement:** Clear paths for promotion and skill development.
- **Flexible Work Arrangements:** Options like remote work, flextime, or compressed workweeks.
- **Positive Work Environment:** A supportive culture, good team dynamics, and respectful colleagues.
- **Recognition and Appreciation:** Formal awards, public acknowledgment, or informal thanks for good work.

4.5 Human Resource Development: Training

- Training, a key component of HRD, involves structured programs designed to develop specific competencies, boost productivity, and align employees with organizational goals.
- **Training** is the planned process of teaching employees the skills and knowledge they need to do their current jobs well.
- **Purpose of Training:**
 - Improve job performance and efficiency.
 - Equip employees with new skills for technological or process changes.
 - Foster career growth and employee engagement.
 - Ensure compliance with regulations or industry standards.

Types of Training

- **On-the-Job Training:**
 - Hands-on learning through job shadowing, mentoring, or apprenticeships.
- **Off-the-Job Training:**
 - Workshops, seminars, or e-learning courses conducted outside the workplace.
- **Technical Training:**
 - Focused on specific tools, software, or machinery.
- **Soft Skills Training:**
 - Enhances communication, leadership, teamwork, or problem-solving skills.
- **Compliance Training:**
 - Covers legal, safety, or ethical standards.
- **Leadership Development:**
 - Prepares employees for managerial or supervisory roles.

Training Process:

- **Needs Assessment:**

- Identify skill gaps through performance reviews, surveys, or organizational goals.

- **Program Design:**

- Develop training objectives, content, and delivery methods (e.g., in-person, online, or hybrid).

- **Implementation:**

- Deliver training using trainers, online platforms, or external consultants.

- **Evaluation:**

- Assess effectiveness using feedback, performance metrics, or Kirkpatrick's Four Levels of Evaluation (Reaction, Learning, Behavior, Results).

• **Benefits:**

- Increases employee productivity and morale.
- Reduces turnover by showing investment in employee growth.
- Enhances adaptability to market or technological changes.
- Improves organizational competitiveness.

• **Challenges:**

- High costs of designing and delivering training.
- Time constraints for employees and trainers.
- Measuring long-term impact or ROI.
- Keeping training relevant in fast-changing industries.

Trends in Training:

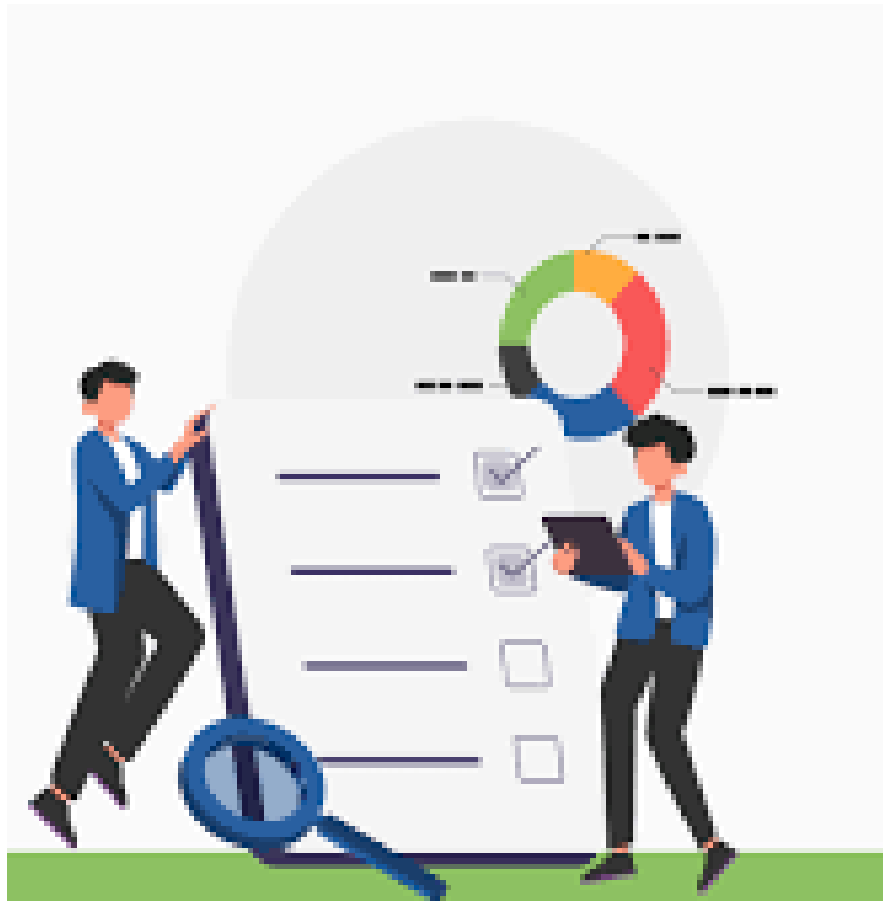
- **E-Learning and Digital Platforms:** Use of Learning Management Systems (LMS) like Moodle or TalentLMS for flexible, self-paced learning.
- **Microlearning:** Short, focused training modules for quick skill acquisition.
- **Personalized Training:** AI-driven programs tailored to individual needs.
- **Gamification:** Incorporating game elements to increase engagement.
- **Diversity and Inclusion Training:** Addressing workplace equity and cultural competence.

4.6 Performance Appraisal

- Performance appraisal is a systematic process used by organizations to evaluate an employee's job performance and overall contribution to the company.
- Performance appraisal is the **ongoing process of evaluating employee job performance** to understand their contributions and identify areas for growth.

Process of Performance Appraisal

- *Setting performance standards.*
- *Collecting and analyzing information on individual employee performance.*
- *Providing feedback and addressing poor performance if necessary.*



Types of Performance Appraisal

- **Rating Scales:** Employees are assessed using a numerical scale on predefined criteria, indicating performance levels.
- **360-Degree Feedback:** Feedback is collected from peers, supervisors, subordinates, and self-assessment for a well-rounded evaluation.
- **Behavioural Observation:** Observing employees' actions and behaviours to assess job performance and competencies.
- **Management by Objectives (MBO):** Setting specific objectives with employees and evaluating performance based on goal achievement.
- **Critical Incident Technique:** Identifying specific positive and negative events that reflect an employee's performance.

360-Degree Performance Appraisal

- A comprehensive method that collects feedback from a range of sources, including managers, peers, subordinates, and customers.
- Provides a holistic view of the employee's performance and interpersonal skills.
- **Strengths:**
 - **Comprehensive View:** More perspectives for a fuller picture.
 - **Reduced Bias:** Less reliance on a single rater's opinion.
 - **Improved Self-Awareness:** Highlights blind spots for the employee.
 - **Enhanced Development:** Identifies broader development needs.
- **Weaknesses:**
 - **Potential for Bias/Politics:** Peer or subordinate ratings can be skewed.
 - **Time-Consuming:** Gathering and processing feedback takes time.
 - **Confidentiality Concerns:** Ensuring honest feedback can be challenging.
 - **Implementation Complexity:** Requires careful planning and execution.
 - **Potential for Conflicting Feedback:** Different perspectives can be hard to reconcile.

Essentials of Performance Appraisal

- ***Reliable Measures:*** Consistent results.
- ***Standardization:*** Same process for all.
- ***Just and Fair:*** Unbiased and equitable.
- ***Viability:*** Practical and easy.
- ***Clear Objective:*** Defined purpose.
- ***Trained Appraisers:*** Skilled evaluators.
- ***Feedback and Participation:*** Communication and input.
- ***Confidential:*** Private information.

limitations of performance appraisal:

- **Judgment Errors:** Rater bias affects accuracy.
- **Poor Appraisal Forms:** Unclear or ineffective tools.
- **Lack of Rater Preparedness:** Appraisers not ready.
- **Ineffective Organizational Policies and Practices:** Flawed system design